

## SECOND SEMESTER DIPLOMA EXAMINATION IN MANAGEMENT

**COST ACCOUNTING****MODEL QUESTION PAPER –SET-1**

Time: 3 hours

Maximum Marks: 75

**PART A****I. Answer all questions in one word or one sentence. Each question carries one mark.****(9 x 1 = 9 Marks)**

|   |                                                              |        |   |
|---|--------------------------------------------------------------|--------|---|
| 1 | Costing is a technique of -----                              | M 1.01 | R |
| 2 | Total of all direct costs is termed as -----                 | M 1.06 | R |
| 3 | ----- is an extension of job costing                         | M 2.02 | U |
| 4 | Continuous costing is also known as-----                     | M 2.02 | R |
| 5 | Contribution margin is also known as -----                   | M 3.05 | R |
| 6 | Margin of Safety is the difference between-----              | M 3.07 | U |
| 7 | ----- is usually a long-term budget.                         | M 4.04 | U |
| 8 | The entire process of preparing the budgets is known as----- | M 4.01 | U |
| 9 | Long-term budgets are prepared for-----                      | M 4.04 | R |

**PART B****II. Answer any eight questions from the following. Each question carries 3 marks****(8 x 3 = 24 Marks)**

|   |                                                |        |   |
|---|------------------------------------------------|--------|---|
| 1 | List the objectives of cost accounting.        | M 1.02 | R |
| 2 | Identify the elements of cost.                 | M 1.06 | U |
| 3 | Describe the variable and semi variable cost.  | M 1.07 | U |
| 4 | Illustrate neatly, the format of a cost sheet. | M 1.08 | U |
| 5 | List out the applications of marginal costing. | M 3.08 | R |
| 6 | List out the objectives of budgetary control.  | M 4.02 | R |

|    |                                                                 |        |   |
|----|-----------------------------------------------------------------|--------|---|
| 7  | Classify budgets according to functions.                        | M 4.04 | U |
| 8  | Discuss the difference between job costing and process costing. | M 2.04 | U |
| 9  | Describe the features of process costing.                       | M 2.04 | U |
| 10 | Explain Margin of Safety.                                       | M 3.07 | U |

### PART C

**Answer all questions. Each question carries seven marks**

**(6 x 7 = 42 Marks)**

|                                     |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
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| III                                 | Differentiate cost accounting and financial accounting.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | M1.04                          | U     |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
|                                     | <b>OR</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| IV                                  | Explain classification of cost according to functions.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | M1.07                          | U     |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| V                                   | Explain elements of cost.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | M1.06                          | U     |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
|                                     | <b>OR</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| VI                                  | <p>The following figures have been extracted from the records of a manufacturing company for the year ending 31<sup>st</sup> December, 2018. You are required to prepare a statement of cost showing:</p> <p>(a) Cost of raw materials consumed (b) Prime Cost (c) Factory Cost.</p> <table><tr><td>Stock of Raw Materials(1-1-18)</td><td>3,000</td></tr><tr><td>Stock of Raw Materials(31-12-18)</td><td>2,400</td></tr><tr><td>Purchases of Raw materials</td><td>14,000</td></tr><tr><td>Stock of work-in-progress(1-1-18)</td><td>1,000</td></tr><tr><td>Stock of work-in-progress(31-12-18)</td><td>800</td></tr><tr><td>Carriage inward</td><td>500</td></tr><tr><td>Manufacturing wages</td><td>4,000</td></tr><tr><td>Other direct expenses</td><td>200</td></tr><tr><td>Indirect wages</td><td>1,000</td></tr><tr><td>Experiment expenses</td><td>400</td></tr><tr><td>Wastage of materials</td><td>50</td></tr><tr><td>Factory overhead</td><td>7,000</td></tr><tr><td>Establishment on costs</td><td>2,000</td></tr><tr><td>Selling overhead</td><td>4,000</td></tr><tr><td>Distribution overhead</td><td>1,000</td></tr><tr><td>Stock of finished goods(1-1-18)</td><td>1,200</td></tr><tr><td>Stock of finished goods(31-12-18)</td><td>3,000</td></tr><tr><td>Sales</td><td>40,000</td></tr></table> | Stock of Raw Materials(1-1-18) | 3,000 | Stock of Raw Materials(31-12-18) | 2,400 | Purchases of Raw materials | 14,000 | Stock of work-in-progress(1-1-18) | 1,000 | Stock of work-in-progress(31-12-18) | 800 | Carriage inward | 500 | Manufacturing wages | 4,000 | Other direct expenses | 200 | Indirect wages | 1,000 | Experiment expenses | 400 | Wastage of materials | 50 | Factory overhead | 7,000 | Establishment on costs | 2,000 | Selling overhead | 4,000 | Distribution overhead | 1,000 | Stock of finished goods(1-1-18) | 1,200 | Stock of finished goods(31-12-18) | 3,000 | Sales | 40,000 | M1.08 | A |
| Stock of Raw Materials(1-1-18)      | 3,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Stock of Raw Materials(31-12-18)    | 2,400                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Purchases of Raw materials          | 14,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Stock of work-in-progress(1-1-18)   | 1,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Stock of work-in-progress(31-12-18) | 800                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Carriage inward                     | 500                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Manufacturing wages                 | 4,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Other direct expenses               | 200                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Indirect wages                      | 1,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Experiment expenses                 | 400                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                 |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Wastage of materials                | 50                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                  |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Factory overhead                    | 7,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Establishment on costs              | 2,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Selling overhead                    | 4,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Distribution overhead               | 1,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Stock of finished goods(1-1-18)     | 1,200                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Stock of finished goods(31-12-18)   | 3,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |
| Sales                               | 40,000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |                                |       |                                  |       |                            |        |                                   |       |                                     |     |                 |     |                     |       |                       |     |                |       |                     |     |                      |    |                  |       |                        |       |                  |       |                       |       |                                 |       |                                   |       |       |        |       |   |

|        |                                                                                                                                                                                                                                                                                                                                                                                                                                                     |        |       |        |   |          |        |   |          |        |       |   |
|--------|-----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|--------|-------|--------|---|----------|--------|---|----------|--------|-------|---|
| VII    | <div>Compute a conservative estimate of profit on a contract (which has been 90% complete) from the following particulars:-</div> <div><div>Total expenditure to date22,50,000</div><div>Estimated further expenditure to complete the Contract (including contingencies)2,50,000</div><div>Contract price32,50,000</div><div>Work certified27,50,000</div><div>Work uncertified1,75,000</div><div>Cash received21,25,000</div></div> <div>OR</div> | M2.03  | A     |        |   |          |        |   |          |        |       |   |
| VIII   | <div>Discuss the advantages and disadvantages of Job costing.</div>                                                                                                                                                                                                                                                                                                                                                                                 | M2.01  | U     |        |   |          |        |   |          |        |       |   |
| IX     | <div>Discuss the advantages and disadvantages of marginal costing.</div> <div>OR</div>                                                                                                                                                                                                                                                                                                                                                              | M3.03  | U     |        |   |          |        |   |          |        |       |   |
| X      | <div>The sports material manufacturing company budgeted the following data for the coming year.</div> <div>Sales(100000 units) – Rs.1000</div> <div>Variable cost – Rs.400</div> <div>Fixed cost – Rs. 500</div> <div>Find out:-P/V Ratio, B.E.P and Margin of Safety.</div>                                                                                                                                                                        | M3.07  | U     |        |   |          |        |   |          |        |       |   |
| XI     | <div>State the application of Break-even Analysis.</div> <div>OR</div>                                                                                                                                                                                                                                                                                                                                                                              | M 3.07 | U     |        |   |          |        |   |          |        |       |   |
| XII    | <div>The sales turnover and profit during two periods were as follows:</div> <table><tr><td>Period</td><td>Sales</td><td>Profit</td></tr><tr><td>1</td><td>2,00,000</td><td>20,000</td></tr><tr><td>2</td><td>3,00,000</td><td>40,000</td></tr></table> <div>What would be probable trading results with sales of Rs. 1, 80,000</div> <div>What amount of sales will yield a profit of Rs. 50,000?</div>                                            | Period | Sales | Profit | 1 | 2,00,000 | 20,000 | 2 | 3,00,000 | 40,000 | M3.08 | U |
| Period | Sales                                                                                                                                                                                                                                                                                                                                                                                                                                               | Profit |       |        |   |          |        |   |          |        |       |   |
| 1      | 2,00,000                                                                                                                                                                                                                                                                                                                                                                                                                                            | 20,000 |       |        |   |          |        |   |          |        |       |   |
| 2      | 3,00,000                                                                                                                                                                                                                                                                                                                                                                                                                                            | 40,000 |       |        |   |          |        |   |          |        |       |   |
| XIII   | <div>Discuss the importance of budgetary control</div> <div>OR</div>                                                                                                                                                                                                                                                                                                                                                                                | M4.02  | R     |        |   |          |        |   |          |        |       |   |
| XIV    | <div>State the difference between Flexible budget and Fixed budget.</div>                                                                                                                                                                                                                                                                                                                                                                           | M4.04  | U     |        |   |          |        |   |          |        |       |   |

## SECOND SEMESTER DIPLOMA EXAMINATION IN MANAGEMENT

**COST ACCOUNTING****MODEL QUESTION PAPER –SET-2**

Time: 3 hours

Maximum Marks: 75

**PART A****I. Answer all questions in one word or one sentence. Each question carries one mark.****(9 x 1 = 9 Marks)**

|   |                                                                        |        |   |
|---|------------------------------------------------------------------------|--------|---|
| 1 | The main function of costing is----- reporting.                        | M 1.01 | U |
| 2 | Depreciation on machinery is an example of ----- cost.                 | M 1.07 | U |
| 3 | Overheads are the total of -----expenses.                              | M 1.06 | R |
| 4 | ----- is applied where production is carried out as per specific order | M 2.01 | R |
| 5 | Marginal costing is also known as----- costing.                        | M 3.01 | R |
| 6 | ----- costing is suitable for oil refinery firms.                      | M 2.04 | U |
| 7 | ----- loss and its values are credited to process account.             | M 2.04 | U |
| 8 | P V ratio is the relationship between contribution and-----            | M 3.06 | R |
| 9 | ----- is also known as subsidiary budgets                              | M 3.07 | R |

**PART B****II. Answer any eight questions from the following. Each question carries 3 marks****(8 x 3 = 24 Marks)**

|   |                                                 |        |   |
|---|-------------------------------------------------|--------|---|
| 1 | State any three advantages of cost accounting.  | M 1.03 | R |
| 2 | Describe the term cost unit.                    | M 1.05 | R |
| 3 | Recall the concept sunk cost.                   | M 1.07 | R |
| 4 | List out cost classification based on behavior. | M 1.07 | U |
| 5 | State any three applications of batch costing.  | M 2.02 | R |
| 6 | Describe three features of process costing.     | M 2.04 | R |

|    |                                   |        |   |
|----|-----------------------------------|--------|---|
| 7  | State the meaning of by-products. | M 2.04 | U |
| 8  | Explain the term contribution.    | M 3.05 | R |
| 9  | Describe BEP.                     | M 3.07 | U |
| 10 | State the concept Master Budget   | M 4.04 | R |

### PART C

**Answer all questions. Each question carries seven marks**

**(6 x 7 = 42 Marks)**

| III                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | Illustrate neatly, the format of a cost sheet.                                                                   | M1.08                 | U        |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
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| <b>OR</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                  |                       |          |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| IV                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Explain the cost classification of costs on the basis of management decision making.                             | M1.07                 | U        |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| V                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | Differentiate the concepts Financial Accounting and Cost Accounting.                                             | M1.04                 | U        |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| <b>OR</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |                                                                                                                  |                       |          |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| VI                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                       | Calculate Prime Cost, Factory Cost, Cost of Production, Cost of Sales and profit from the following particulars: | M1.08                 | U        |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| <table style="width: 100%; border-collapse: collapse;"> <thead> <tr> <th style="width: 30%;"></th><th style="width: 15%; text-align: right;">Rs.</th><th style="width: 30%;"></th><th style="width: 15%; text-align: right;">Rs.</th></tr> </thead> <tbody> <tr> <td>Direct Materials</td><td style="text-align: right;">1,00,000</td><td>Consumable stores</td><td style="text-align: right;">2,500</td></tr> <tr> <td>Direct Wages</td><td style="text-align: right;">30,000</td><td>Manager's Salary</td><td style="text-align: right;">5,000</td></tr> <tr> <td>Wages of Foreman</td><td style="text-align: right;">2,500</td><td>Directors' fees</td><td style="text-align: right;">1,250</td></tr> <tr> <td>Electric power</td><td style="text-align: right;">500</td><td>Office Stationery</td><td style="text-align: right;">500</td></tr> <tr> <td>Lighting: Factory</td><td style="text-align: right;">1,500</td><td>Telephone Charges</td><td style="text-align: right;">125</td></tr> <tr> <td>Office</td><td style="text-align: right;">500</td><td>Postage and Telegrams</td><td style="text-align: right;">250</td></tr> <tr> <td>Storekeeper's wages</td><td style="text-align: right;">1,000</td><td>Salesmen's salary</td><td style="text-align: right;">1,250</td></tr> <tr> <td>Oil and water</td><td style="text-align: right;">500</td><td>Travelling expenses</td><td style="text-align: right;">500</td></tr> <tr> <td>Rent: Factory</td><td style="text-align: right;">5,000</td><td>Advertising</td><td style="text-align: right;">1,250</td></tr> <tr> <td>Office</td><td style="text-align: right;">2,500</td><td>Warehouse charges</td><td style="text-align: right;">500</td></tr> <tr> <td>Repair and Renewals: Sales</td><td></td><td></td><td style="text-align: right;">1,89,500</td></tr> <tr> <td>Factory plant</td><td style="text-align: right;">3,500</td><td>Carriage outward</td><td style="text-align: right;">375</td></tr> </tbody> </table> |                                                                                                                  |                       |          |  | Rs. |  | Rs. | Direct Materials | 1,00,000 | Consumable stores | 2,500 | Direct Wages | 30,000 | Manager's Salary | 5,000 | Wages of Foreman | 2,500 | Directors' fees | 1,250 | Electric power | 500 | Office Stationery | 500 | Lighting: Factory | 1,500 | Telephone Charges | 125 | Office | 500 | Postage and Telegrams | 250 | Storekeeper's wages | 1,000 | Salesmen's salary | 1,250 | Oil and water | 500 | Travelling expenses | 500 | Rent: Factory | 5,000 | Advertising | 1,250 | Office | 2,500 | Warehouse charges | 500 | Repair and Renewals: Sales |  |  | 1,89,500 | Factory plant | 3,500 | Carriage outward | 375 |
|                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Rs.                                                                                                              |                       | Rs.      |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Direct Materials                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 1,00,000                                                                                                         | Consumable stores     | 2,500    |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Direct Wages                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                             | 30,000                                                                                                           | Manager's Salary      | 5,000    |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Wages of Foreman                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | 2,500                                                                                                            | Directors' fees       | 1,250    |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Electric power                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 500                                                                                                              | Office Stationery     | 500      |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Lighting: Factory                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                        | 1,500                                                                                                            | Telephone Charges     | 125      |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Office                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 500                                                                                                              | Postage and Telegrams | 250      |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Storekeeper's wages                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | 1,000                                                                                                            | Salesmen's salary     | 1,250    |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Oil and water                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 500                                                                                                              | Travelling expenses   | 500      |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Rent: Factory                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 5,000                                                                                                            | Advertising           | 1,250    |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Office                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 2,500                                                                                                            | Warehouse charges     | 500      |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Repair and Renewals: Sales                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                               |                                                                                                                  |                       | 1,89,500 |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |
| Factory plant                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            | 3,500                                                                                                            | Carriage outward      | 375      |  |     |  |     |                  |          |                   |       |              |        |                  |       |                  |       |                 |       |                |     |                   |     |                   |       |                   |     |        |     |                       |     |                     |       |                   |       |               |     |                     |     |               |       |             |       |        |       |                   |     |                            |  |  |          |               |       |                  |     |

|                                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                |             |       |     |                                |      |      |              |  |      |                 |  |      |                            |      |  |       |   |
|--------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|-------------|-------|-----|--------------------------------|------|------|--------------|--|------|-----------------|--|------|----------------------------|------|--|-------|---|
|                                | Transferto Reserves      1,000      Dividend                      2,000<br><br>Discount on shares written off                      500<br><br>Depreciation:FactoryPlant                      500<br><br>OfficePremises      1,250                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              |             |       |     |                                |      |      |              |  |      |                 |  |      |                            |      |  |       |   |
| VII                            | Discuss the advantages and disadvantages of Job costing.<br><br><b>OR</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                      | M2.01       | U     |     |                                |      |      |              |  |      |                 |  |      |                            |      |  |       |   |
| VIII                           | Prepare a Contract Account.<br><br>A firm of Builders, carrying out large contracts kept in contract ledger; separate accounts for each contract on 30th June, 2017, the following were shown as being the expenditure in connection with Contract No. 555.<br>Materials purchased 1,16,126<br>Materials issued from stores 19,570<br>Plant, which has been used on other contracts 25,046<br>Additional plant 7,220<br>Wages 1,47,268<br>Direct expenses 4,052<br>Proportionate establishment expenses 17,440<br><br>The contract which had commenced on 1st February, 2017 was for Rs.6,00,000 and the amount certified by the Architect, after deduction of 20% retention money, was Rs. 2,41,600 the work being certified on 30th June, 2017. The materials on site were Rs.19,716. A contract plant ledger was also kept in which depreciation was dealt with monthly the amount debited in respect of that account is Rs. 2260. Prepare Contract Account showing profit on the contract. | M2.03       | U     |     |                                |      |      |              |  |      |                 |  |      |                            |      |  |       |   |
| IX                             | Discuss the major difference between Job Costing and Process Costing.<br><br><b>OR</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                         | M2.01       | U     |     |                                |      |      |              |  |      |                 |  |      |                            |      |  |       |   |
| X                              | Prepare Process Account<br>The following particulars for process II are given:<br><table><tr><td>Particulars</td><td>UNITS</td><td>Rs.</td></tr><tr><td>Transfer to process II at cost</td><td>4000</td><td>9000</td></tr><tr><td>Direct wages</td><td></td><td>2000</td></tr><tr><td>Direct material</td><td></td><td>3000</td></tr><tr><td>Transfer to Finished stock</td><td>3240</td><td></td></tr></table><br>Factory overheads in process are absorbed at a rate of 400% of                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                              | Particulars | UNITS | Rs. | Transfer to process II at cost | 4000 | 9000 | Direct wages |  | 2000 | Direct material |  | 3000 | Transfer to Finished stock | 3240 |  | M2.04 | A |
| Particulars                    | UNITS                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          | Rs.         |       |     |                                |      |      |              |  |      |                 |  |      |                            |      |  |       |   |
| Transfer to process II at cost | 4000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           | 9000        |       |     |                                |      |      |              |  |      |                 |  |      |                            |      |  |       |   |
| Direct wages                   |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 2000        |       |     |                                |      |      |              |  |      |                 |  |      |                            |      |  |       |   |
| Direct material                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | 3000        |       |     |                                |      |      |              |  |      |                 |  |      |                            |      |  |       |   |
| Transfer to Finished stock     | 3240                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |             |       |     |                                |      |      |              |  |      |                 |  |      |                            |      |  |       |   |

|                                      | direct material. Allowance for Normal loss is 20% of Units worked. Scrap value is ` 5 per unit. Evaluate the cost of transfer to finished stock. Using the information supplied above, show the amount of gain or loss in the process to be taken to Cost Profit and Loss A/c.                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                           |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
|--------------------------------------|----------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|----------------|-----------------|----------------------------|------|-----------------|-------|-------------------------|--------|-----------------------|-------|-------------------------------------|---------------|--------------------------------------|-------|-------------------------|------|--------------|-------|-----------|-------|----------|--------|-----------------|--|-------------------------------|--|-------|---|
| XI                                   | Explain the merits and demerits of Marginal Costing.<br><br><b>OR</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | M 3.03         | U               |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| XII                                  | The following results of a company for the last two years are as follows: <table border="1"><thead><tr><th>Year</th><th>Sales</th><th>Profit</th></tr></thead><tbody><tr><td>2014</td><td>150000</td><td>20000</td></tr><tr><td>2015</td><td>170000</td><td>25000</td></tr></tbody></table><br>You are required to calculate: (i) P/V Ratio (ii) B.E.P (iii) The sales required to earn a profit of Rs. 40,000 (iv) Profit when sales are Rs.2,50,000 (v) Margin of safety at a profit of Rs. 50,000                                                                                                                                                                                                                                                                                                                                                                                                     | Year           | Sales           | Profit                     | 2014 | 150000          | 20000 | 2015                    | 170000 | 25000                 | M3.07 | U                                   |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| Year                                 | Sales                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    | Profit         |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| 2014                                 | 150000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 20000          |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| 2015                                 | 170000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   | 25000          |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| XIII                                 | Describe the concept budgetary control and explain its major advantages.<br><br><b>OR</b>                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                | M4.02          | U               |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| XIV                                  | Draw up a flexible budget for overhead expenses on the basis of the following data and determine the overhead rates at 70%, 80% and 90% <table border="1"><thead><tr><th>Plant Capacity</th><th>At 80% capacity</th></tr></thead><tbody><tr><td><b>Variable Overheads:</b></td><td></td></tr><tr><td>Indirect labour</td><td>12000</td></tr><tr><td>Stores including spares</td><td>4000</td></tr><tr><td><b>Semi Variable:</b></td><td></td></tr><tr><td>Power (30% - Fixed: 70% - Variable)</td><td>20000<br/>2000</td></tr><tr><td>Repairs (60%- Fixed: 40% - Variable)</td><td>11000</td></tr><tr><td><b>Fixed Overheads:</b></td><td>3000</td></tr><tr><td>Depreciation</td><td>10000</td></tr><tr><td>Insurance</td><td>62000</td></tr><tr><td>Salaries</td><td>124000</td></tr><tr><td>Total overheads</td><td></td></tr><tr><td>Estimated Direct Labour Hours</td><td></td></tr></tbody></table> | Plant Capacity | At 80% capacity | <b>Variable Overheads:</b> |      | Indirect labour | 12000 | Stores including spares | 4000   | <b>Semi Variable:</b> |       | Power (30% - Fixed: 70% - Variable) | 20000<br>2000 | Repairs (60%- Fixed: 40% - Variable) | 11000 | <b>Fixed Overheads:</b> | 3000 | Depreciation | 10000 | Insurance | 62000 | Salaries | 124000 | Total overheads |  | Estimated Direct Labour Hours |  | M4.05 | A |
| Plant Capacity                       | At 80% capacity                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| <b>Variable Overheads:</b>           |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| Indirect labour                      | 12000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| Stores including spares              | 4000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| <b>Semi Variable:</b>                |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| Power (30% - Fixed: 70% - Variable)  | 20000<br>2000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                            |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| Repairs (60%- Fixed: 40% - Variable) | 11000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| <b>Fixed Overheads:</b>              | 3000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                     |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| Depreciation                         | 10000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| Insurance                            | 62000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                    |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| Salaries                             | 124000                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                   |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| Total overheads                      |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |
| Estimated Direct Labour Hours        |                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                                          |                |                 |                            |      |                 |       |                         |        |                       |       |                                     |               |                                      |       |                         |      |              |       |           |       |          |        |                 |  |                               |  |       |   |